

SENIORS UNITED NOW

LOCAL AUTHORITIES PENSION PLAN

COST OF LIVING ADVOCACY PROJECT

IDENTIFY THE ISSUE:

Alberta pensioners annual cost of living adjustment is currently based on only 60% of the Canadian consumer price index. For the average government pensioner this calculated to a 0.96% increase, which in dollars amounts to about a \$10.00 monthly increase, resulting in a further fall behind of the real inflation rate. The Alberta Provincial Government promised cost of living adjustments to be comparable to the C.P.I. but continues to break this promise.

A recent press release from the Local Authorities Pension Plan indicates the total elimination of the Cost of Living Adjustment!

COST OF LIVING ADJUSTMENT STANDARDS SET BY OTHER PROVINCES:

Following is a summary, obtained from Google, which outlines the COLA adjustment standards implemented by other Provincial Governments;

- British Columbia, over the last 25 years (except for one year) has provided COLA adjustments which provides increases at 100% of the Canadian Consumer Price Index.
- Manitoba, COLA is based on 2/3 of the C.P.I.
- Ontario, appears to be 100% of the C.P.I.
- Quebec, pensioners over the age of 65 receive 100% of the C.P.I.
- Newfoundland/Labrador, COLA is adjusted October of each year to 60% of the C.P.I.
- New Brunswick, has a “Shared Risk Pension Model”, as pension returns increase the higher the COLA is adjusted.
- Nova Scotia, if superannuation fund is insufficient, the Minister of Finance shall pay the shortfall out of General Revenue. Year 2011 to 2015 COLA is indexed at 1.25%.
- Saskatchewan, has implemented a defined contribution pension plan.
- The Canada Pension Plan provides COLA at 100% of the C.P.I.
- Alberta teachers receive COLA at 70% of the consumer price index.
- Alberta M.L.A.’s had a pension plan and it pays either 100% of the Alberta Weekly Earnings, (eg. Year 2010 would grant a 4.54% increase) or 100% of the C.P.I.

MEASURE AND EVALUATE OUR ISSUE TO THE STANDARD OF OTHER PROVINCES:

In all cases, except one, other provinces provide substantially more COLA than what Alberta Pensioners receive. **No other provinces are considering eliminating the Cost of Living Adjustment.**

IDENTIFY ADVOCACY AUDIENCES

Following is abbreviated biographies of MLA's and Government Ministers who could provide political will to work with us to resolve our issue.

- **Hon. Doug Horner – President of the Treasury Board and Minister of Finance.** Doug has served as a member of Standing Committee on law and regulations.
- **Hon Robin Campbell – Minister of Aboriginal Relations**
Also Past President of Local United Mine Workers of America and also appeals commissioner for W.C.B.
- **Hon. Tomas Lukaszuk – Deputy Premier**
-also worked on ethics in Government to support for low income and disabled Albertans.
-Standing Committee on Law and Regulations
-MLA committee to review low income programs
-committee chair for Income for Severely Handicapped (AISH)
- Task force on Teachers Unfunded Pension Liability
- **Dave Rodney – associate minister of wellness**
- Listed in Albertas 50 Most Influential People, Alberta Venture Magazine, 2005.
- **Bridget A. Pastoor, M.L.A. Lethbridge**
-member, Canadian Pension Appeals Board from 1993 – 97
-her interests include social justice
- **George Vanderburg – associate minister of seniors**
Seniors Advisory Council for Alberta (chair)
- **Jonathan Denis Q.C. – Minister of justice & Solicitor General**
-Director of the Institute for Public Sector Accountability, a non profit organization founded to promote transparency and accountability in the public sector

- **Ms. Alana Delong – M.L.A. Calgary – Bow**
- She is chair of the Seniors Advisory Council for Alberta

BACKGROUND INFORMATION ON THE LOCAL AUTHORITIES BOARD.

These are following statements quoted from their website;

“LAPP’s primary goal is to provide a lifetime benefit to its members and prepare for challenges ahead” ‘It doesn’t mean LAPP is in crisis because it is not, the plan is strong and well managed.

“LAPP is seeking input and feedback from as many stake holders as possible”.
“Currently the guidance structure is flawed, placing all the risk in the hands of the employees and employers who fund the plan, while giving them no power to oversee plan administration, plan investments and /or plan design. LAPP’s Board believes that governance must be addressed on a priority basis and continues to push government for change!”

DEVELOPING & DELIVERING ADVOCACY MESSAGES:

1. Together with the Provincial Government we must achieve fairness and similar benefits as other provinces.
2. Request a review of legislation changes that have been detrimental to LAPP pensioners . Determine why these changes were made in the first place.
3. Government has the duty to demonstrate fairness, keep pension promises and show respect to pensioners.
4. Positive actions can provide improvement in the cost of living, help seniors pay for increases in utilities, food services, taxes, fuel, insurance and merchandise.
5. Stress that a AISH recipient receives \$7,000 more per year than the average Public Service Pensioner who has contributed to the pension plan for 30 to 35 years!!
6. We recognize that our proposals will meet significant opposition. LAPP will tell us that they are only 80% funded, they have no money. The Government will tell us they have a deficit budget.

CORRECTIVE ACTIONS/ SOLUTIONS:

Consider some or all of the following recommendation;

1. Arrange for meaning full discussions with the above noted Advocacy Audience.
2. Recommend that SUN take part in the LAPP review process.
3. Make LAPP and the Advocacy Audience aware of regulation changes that over time had lead to the erosion of pension benefits. We require back up documentation from Ken Smith.
4. Continue to push for pension plan members, so that they get the pension promises that were made, including a cost of living adjustment that should be 100% of the consumer price index!
5. We must encourage and have the Government to have the political will to make the necessary changes to make restitution to the LAPP pensioners.

Respectfully submitted by

Wayne Sorenson